

Primitive	Core comparison
Common merits	$Q \sim U[0, 1]; T \mid Q \sim \text{Bernoulli}(Q); \Pr(T = 1) = 0.5$
Private information	One noisy merits signal per party; 10 signal bins each
Signal noise	$\sigma_P = \sigma_D = \sigma_C = 0.20$
Adjudication	Two court-signal bins; fixed damages $d = 1$
Initial wealth	$w_P = w_D = 10$
Filing and answering	Endogenous; cost 0.15 for each acting party
Trial	Additional cost 0.15 per party; no additional bargaining cost
Exit	Parties commit before offers to continue or exit if bargaining fails
Bargaining	One simultaneous round; 10 offers 0.05, 0.15, $\dots$, 0.95; midpoint settlement if demand $\leq$ offer
Preferences	Risk neutral or symmetric CARA, $\alpha = 2$
Cost comparisons	Common cost multipliers 0.25, 0.5, 1, 2, 4
Integration	64-point Gauss–Legendre integration over continuous merits

Fee trigger	American	Trial Fee-Shifting	Complete Fee-Shifting
After trial	Own costs	Loser pays	Loser pays
Initial nonanswer	Own costs	Own costs	D pays P’s fees
Later P abandonment	Own costs	Own costs	P pays D’s fees
Later D default	Own costs	Own costs	D pays P’s fees
Settlement	Own costs	Own costs	Own costs